UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE SIXTH CIRCUIT

In re: CHIEFTAIN STEEL, LLC, *et at.* Debtors.	BAP No. 19-8005 Appeal From U.S. Bankruptcy Court Western District of Kentucky-Bowling Green
DINSMORE & SHOHL LLP, BINGHAM GREENBAUM DOLL LLP, FOX ROTHSCHILD LLP, and PHOENIX MANAGEMENT SERVICES, LLC Appellants, v. UNITED CUMBERLAND BANK Appellee.	Originating Case Information Case No. 16-10407 Chapter 11 Hon. Joan A. Lloyd

ON APPEAL FROM THE UNITED STATES BANKRUPTCY COURT FOR THE WESTERN DISTRICT OF KENTUCKY

APPELLEES' BRIEF

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CORPORATE DISCLOSURE STATEMENTS

Pursuant to 6th Cir. R. 26.1, Appellee United Cumberland Bank makes the following disclosures:

1. Is said party of subsidiary or affiliate of a publicly owned corporation?

No.

2. Is there a publicly owned corporation, not a party to the appeal, that has a financial interest in the outcome?

No.

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STATEMENT OF ISSUES

Are the Appellants Dinsmore & Shohl, LLP; Bingham Greenebaum Doll, LLP; Fox Rothschild, LLP and Phoenix Management Services, LLC entitled post-confirmation to recover unpaid fees pursuant to a Carve-Out in the interim Cash Collateral Orders which were not specifically authorized or reserved in the Order of Confirmation or the Confirmed Plan of Reorganization.

STATEMENT OF THE CASE

The Appellants consist of counsel for the Debtor, Chieftain Steel, LLC, and the attorneys and financial advisors for the creditors committee (hereinafter collectively referred to as ("Professionals".) The Professionals are seeking to recover post-confirmation fees and expenses from the secured creditor although such recovery is not authorized under the Confirmed Plan of Reorganization or in the Order of Confirmation.

Chieftain Steel, LLC ("Chieftain") filed a voluntary petition for relief under Chapter 11 of the United States Bankruptcy Code on May 2, 2016. Subsequently, the Official Committee of Unsecured Creditors (the "Committee") was appointed by the office of the United States Trustee. Chieftain was initially represented by Constance Grayson, but was replaced by Dinsmore & Shohl, LLP, which was approved as counsel for Chieftain by Order dated August 22, 2016 (Doc #109). On June 24, 2016, the Bankruptcy Court entered an Order Granting Application to Employ Michael G. Menkowitz, Fox Rothschild LLP as Counsel, Nunc Pro Tunc as of May 21, 2016 (Doc #83) and Order Granting Application to Employ James R. Irving, Bingham Greenebaum Doll LLP as Local Counsel, Nunc Pro Tunc as of May 21, 2016 (Doc #84). On July 20, 2016, the employment of Phoenix as the Committee's financial adviser was approved by the Bankruptcy Court (Doc #92).

On July 8, 2016, the parties entered into an *Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender pursuant to 11 U.S.C. §§ 105, 361 and 363; and (III) Providing Notice of Final Hearing* (Doc #91). This initial Cash Collateral Order did not provide an amount for a Carve-Out. *A Second Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; and (III) Providing Notice of Final Hearing* was entered on August 4, 2016 (Doc #101). This Order authorized the **Debtor** to pay Dinsmore & Shohl, LLP $20,000 per month for fees and pay $20,000 per month for the other Professionals. Its relevant part, the Second Cash Collateral Order provided:

> Payment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out. For purposes of this Agreed Order, the Carve-Out shall mean (i) any, fees, cost, disbursements, charges and expenses (as allowed by the Bankruptcy Court) of attorneys, accountants and other professionals of (x) the Debtor retained in the Chapter 11 Case pursuant to Sections 327, 328, 330, 331 and 1103 of the Bankruptcy Code and (y) the Committee; provided, however, that the aggregate amount of the Debtor's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month and the Committee's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month. **The Debtor shall pay the Carve-Out as funds permit without causing an overdraft.** (Emphasis Added)

The Second Amended Cash Collateral Order covered a time period of July 3, 2016 through July 28, 2016. Subsequently, additional Cash Collateral Orders were entered in the Chieftain case on August 30, 2016, Third Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (III) Providing Notice of Final Hearings; and (IV) Remanding Hearing Set for August 30, 2016 (Doc #111); on September 1, 2016, Amended Third Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate

Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (III) Providing Notice of Final Hearings; and (IV) Remanding Hearing Set for August 30, 2016 (Doc #113); on October 5, 2016, Final Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363 (Doc #139); on October 24, 2016, Final Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363(Doc #147); on December 28, 2016, First Amended Final Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (Doc #175); on December 29, 2016, First Amended Final Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (Doc #177); on February 1, 2017, Second Amended Final Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (Doc #197); on February 1, 2017, Second Amended Final Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (Doc #198); on March 6, 2017, Third Amended Final Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (Doc #219); and on April 17, 2017, Fourth Amended Final Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Prepetition Lender; (II) Granting Adequate Protection to Prepetition Lender Pursuant to 11 USC. §§ 105, 361 and 363; (Doc #245). None of the subsequent Orders addressed

any shortfall in the payment of attorney's fees under the prior Cash Collateral Order nor did the Orders authorize additional amounts to be paid to the Professionals to address any arrearage.

A related entity, Floyd Industries, filed a Petition for Relief under Chapter 11 on September 9, 2016. The Floyd Industries Chapter 11 was ordered to be jointly administered with the Chieftain Steel bankruptcy on September 12, 2016 (Doc #124). Separate Cash Collateral Orders were entered in the Floyd case beginning with the first Cash Collateral Order on September 28, 2016 (Doc #129).

On April 14, 2017, Chieftain filed a Second Amended Plan of Reorganization (Doc # 249-1). The Second Amended Plan addressed the payment of Professional fees (¶3.05); the treatment of UCB's secured claim (¶4.02) and reinstated the property of the estate to the Debtor.

The Bankruptcy Court confirmed the Second Amended Plan by its Findings of Fact, Conclusions of Law, and Order Under 11 U.S.C. §§ 1129(a) Confirming the Joint Plan of Reorganization dated May 24, 2017 (Doc #266). On August 9, 2017, the Bankruptcy Court entered the Agreed Order with Respect to Pending Fee Applications (Doc #303) giving final approval and allowance of the fees for the counsel for the Unsecured Creditors Committee and the financial advisor. Finally, an Order Granting Second and Final Application of Dinsmore & Shohl LLP as counsel to the Debtor for Allowance of Fees and Expenses for November 1, 2016 Through June 7, 2017, and for Final Approval of Fees and Expenses Incurred in this Case was entered on August 10, 2017 (Doc #306.)

Pursuant to the Second Amended Plan of Reorganization, post-confirmation Chieftain and Floyd Industries merged into a new entity: The Pennyrile Company, LLC ("Pennyrile"). The reorganized Debtor was unsuccessful in its new business. An involuntary bankruptcy proceeding

was filed by the requisite three creditors, including one of the Professionals, placing Pennyrile into a Chapter 7 Bankruptcy Case No. 18-10046.

After the filing of the Pennyrile's involuntary bankruptcy, the Professionals sent a letter on May 7, 2018 to counsel for United Cumberland Bank ("UCB") demanding payment of over $227,407.48 for professional fees. UCB denied that request. Subsequently on October 5, 2018, the professionals filed a Joint Motion of Dinsmore & Shohl LLP, Bingham Greenebaum Doll LLP, Fox Rothschild LLP, and Phoenix Management Services, LLC to Compel Turnover and Payment of Carve-Out Held by United Cumberland Bank (Doc #409). After briefing and a hearing, Judge Joan Lloyd denied the Professional's motion by Memorandum-Opinion dated March 13, 2019 (Doc #424). The Bankruptcy Court stated that it "sees nothing in the Second Amended Plan or the Carve-Out that requires payment of the Professionals' fees directly from UCB's collateral post-confirmation." Memorandum-Opinion, p. 12. The Bankruptcy Court also noted in a final footnote: "To the extent the Professionals claim UCB has collected monies from pre-confirmation assets as opposed to post-confirmation assets, and to the extent other secured creditors not subject to the Carve-Out and Cash Collateral Orders claim superior rights to the proceeds from liquidated equipment, an adversary proceeding is the appropriate method to resolve these claims."

This Appeal then followed.

STANDARD OF REVIEW

The review of the bankruptcy court Order interpreting is own Orders is for an abuse of desecration *In re Licking River Mining, LLC*, 911 F.3d 806 (6th Cir. 2018); I*n re Consolidated Industries Corp*., 360 F.3d 317 (7th Cir. 2004). The bankruptcy court's interpreting of the Cash Collateral Order should be given deference. *In re Licking River Mining* on p. 810, relying upon *Harper v. The Overnight Comm. (In re Conoco, Inc.),* 855 F.3d 703, 714 (6th Cir. 2017).

SUMMARY OF ARGUMENT

Bankruptcy Judge Joan Lloyd, interpreting her own Orders and confirmed Second Amended Plan of Reorganization, did not abuse her discretion in finding that neither the Second Amended Plan or the Carve-Out provisions in the Cash Collateral Orders required payment of the Professionals from UCB's collateral post-confirmation. Despite claims made by the Professionals, the Bankruptcy Court has not created havoc with the normal Chapter 11 fee arrangements or create a "dangerous precedent." The collection of fees from UCB pursuant to the Carve-Out is not the Professionals only opportunity to be paid. The Liquidating Trustee appointed in the Confirmed Plan should also have funds available to pay administrative expenses.

ARGUMENT

UCB recognizes that Carve-Outs are normal provisions in Cash Collateral Orders and are needed to "foster the reorganization process". *In re Evanston Beauty Supply, Inc., 136 B.R. 171, 177 (Bankr. N.D. IL 1992)*. Professionals merely seek to enforce rights which do not exist under the plain language of the Cash Collateral Orders or the confirmed Second Amended Plan. The Professionals want to argue that "nothing in the Carve-Outs, the Cash Collateral Orders, or the Confirmed Plan prevents the Carve-Out from being enforced Post-Confirmation or after the initiation of the Chapter 7 proceeding." ***Appellants Brief Page 11***.

However, unfortunately for the Professionals, the Carve-Out, the Cash Collateral Orders and the Confirmed Plan do not authorize the collection from UCB post-confirmation. The Carve-Out and Plan further do not authorize such action after the initiation of the new involuntary Chapter 7 action.

The Cash Collateral Orders do not obligate UCB to pay the Professional fees.

Each Cash Collateral Order was limited in scope. In Paragraph 3(a) of each Order, the use of Cash Collateral was limited to a specific budget. As an example, the *Second Amended Final*

Agreed Order (I) Authorizing Debtor to Utilize Cash Collateral of Pre-Petition Lender; and (II) Granting Adequate Protection to Pre-Petition Lender Pursuant to U.S.C. § 105, 361 and 363; and (III) Providing Notice of Final Hearing dated March 31, 2017 (Doc #191) was limited to the period of December 31, 2016 through March 1, 2017 (the "Budget".) Each Cash Collateral Order provided that the Carve-Out would not exceed $20,000 per month for Debtors counsel and $20,000 per month for the Committee. It further provided "the Debtor shall pay the Carve-Out as funds permit without causing an overdraft."

> Payment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out. For purposes of this Agreed Order, the Carve-Out shall mean (i) any, fees, cost, disbursements, charges and expenses (as allowed by the Bankruptcy Court) of attorneys, accountants and other professionals of (x) the Debtor retained in the Chapter 11 Case pursuant to Sections 327, 328, 330, 331 and 1103 of the Bankruptcy Code and (y) the Committee; provided, however, that the aggregate amount of the Debtor's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month and the Committee's fees, costs, disbursements, charges and expenses entitled to priority as part of the Carve-Out under clause (i) above shall not exceed $20,000 per month. **The Debtor shall pay the Carve-Out as funds permit without causing an overdraft.** (Emphasis Added)

The Professionals' interpretation of the Carve-Out negates the various of the provision that the "Debtor shall pay this Carve-Out as find permit." Clearly only the Debtor was obligated to pay the Carve-Out, and only as cash was available. The parties did not want the Professional fees to drive the Debtor into deficit cash position.

Subsequent Cash Collateral Orders did not address or permit the carry forward of any arrears in the payments from the prior budget. Each Cash Collateral Order is silent as to what would occur should the Debtor fail to pay the $20,000 per month agreed to as to the Carve-out. Clearly there is no specific language requiring UCB to make up any such shortfall.

The Plan of Confirmation does not require UCB to pay the Professional fees.

A confirmed plan is legally binding on all parties. 11 U.S.C. § 1141(a). Post-Confirmation, parties are precluded from raising issues they could have raised pre-confirmation. 11 U.S.C. § 1141(b).

The confirmed plan serves as a final judgment in a Bankruptcy proceeding and has res judicata effect. *In re Chattanooga Wholesale Antiques Inc.*, 930 F.2d 458 (6th Cir 1991); *In re Sanders Confectionery Products, Inc. v. Heller Financial, Inc.,* 973 F.2d 474 (6th Cir. 1992). *In re Robert L. Schmidt Company*, 337 B.R. 595 (Bankr. W.D. Ky 2006).

As Judge Lloyd properly ruled, nothing in the Confirmed Second Amended Joint Plan of Reorganization "shifted the responsibility for payment of the Carve-Out from the Debtors to UCB." **Memorandum-Opinion (Doc #424, Page 3)**.

As to the Professionals, the Second Amended Joint Plan of Reorganization provided:

> Holders of Professional Fee Claims shall receive Cash in an amount equal to the allowed amount of their respective Bankruptcy Court-approved Professional Fee claims…Any award by the Bankruptcy Court shall be paid in full in such amounts as are Allowed by an Order of the Bankruptcy Court, *first*, from any Carve-Out amounts held in escrow by an Entity asserting such Professional Fee Claim and, *second*, if Carve-Out amounts held by the Entity are exhausted, the Professional Fee Claim shall be payable as soon a practicable, and in any event within forty-five (45) days' of entry of an order approving the Professional Fee Claim. With respect to Professional Fee Claims arising after the Effective Date, **the Reorganized Debtor shall pay such Professional Fee Claim in the ordinary course of business** without the necessity of any Professionals being required to file an application for such Professional Fee claims. **(Second Amended Plan, ¶ 3.05 (Doc #249).**

As to the treatment of UCB, the Second Amended Plan provided: **(¶ 4.02)**

> (b) Distributions/Treatment. UCB shall have an Allowed Claim in an amount not less than $3,692,178.70. The Class 1 Secured Claim shall be satisfied via the Reorganized Debtors' continuing payment of the Debtors' pre-Petition Date obligations to UCB. UCB's existing Liens, mortgages and guaranties shall be deemed to be in full force and effect to secure the Reorganized Debtor's obligations to UCB; provided however, upon payment in full of these obligations, UCB shall release all Liens, security interests, and mortgages which secure the UCB Claim,

> and shall terminate any guaranties relating thereto. UCB shall receive periodic payments without default interest or penalties from the Reorganized Debtor consistent with and in the amount set out in the pre-Petition Date loan agreements and notes between UCB and the Debtors. For the avoidance of doubt, UCB shall not be entitled to a deficiency claim or other Class 4, General Unsecured Claim.

This treatment of the secured claim was not in any way made subject to the carve-out or any obligation to pay the Professional Fees.

Maybe even more important, the Second Amended Plan also provided a release of claims as to UCB, providing in **Paragraph 10.10**:

> As of the Effective Date of the Plan, the Debtors, the Reorganized Debtor, the Committee, and the Liquidating Trust shall **forever waiver, release and discharge any Cause of Action they may have against UCB that arose before the Effective Date, other than those legal rights specifically retained and set forth in the Plan.** Among other things, the Committee shall file a notice of dismissal with prejudice, in a form and manner acceptable to UCB, dismissing the adversary proceeding pending as *Committee of Creditors Holding Unsecured Claims v. United Cumberland Bank*, Adv. Pro. No. 16-01048-jal before the Bankruptcy Court (the "UCB Adversary Proceeding").

The rights as to the Carve-Out were not "specifically retained and set forth in the Plan." This full release must be interpreted pursuant to its clear and unambiguous terms.

The Plan also provided for the vesting of all assets with the Reorganized Debtor free and clear of liens except those liens provided for in the Plan: **Paragraph 7.05**

> Except as otherwise provided in this Plan, as of the Effective Date, all Assets of each Debtor will vest in and remain with the Reorganized Debtor free of Liens and encumbrances except for those Liens and encumbrances provided for in the Plan. The Reorganized Debtor will continue operating as a going-concern until the Final Distribution Date. Nothing herein shall prohibit the Debtors form liquidating any Asset, outside of the ordinary course of business, upon notice to and either (i) consent of any Creditor holding a Lien upon the Asset and the Liquidating Trustee; or (ii) motion to and order of the Bankruptcy Court.

The failure of the Plan to more specifically address payment of the Professionals fee is made problematic by the fact that the Second Amended Plan provided that Chieftain would merge post-confirmation with Floyd Industries. In fact, the two Debtors merged into a new entity,

Pennyrile. The Professionals' Carve-Outs were only entered in the Chieftain case. They had no entitlement to a carve-out for fees in the Floyd Industries case. But if the Professionals are now correct, they are entitled to be paid from what were assets of Floyd Industries now held by the Reorganized Debtor.

Of course, neither this Carve-Out or the Second Amended Plan anticipated a second bankruptcy case, that began the involuntary Chapter 7 filed against the Reorganized Debtor. Such a scenario was not anticipated and certainly note addressed.

Cases cited by the Professionals do not support their position.

The Professionals praise great weight on the decision on *In re Licking River Mining, LLC*, *supra*, *decision*. This support, however, is misplaced. First, the *Licking River Mining* case involved question of the effect of the carve-out after a case had been converted to a Chapter 7 proceeding. Upon conversion, the collateral would remain property of the bankruptcy estate. In the present case the Plan was confirmed; therefore, the property was reinvested in the Debtor and, as provided in the Plan, was subject to the mortgages and security interest of UCB without limitation. Further, as noted by Judge Lloyd, the terms of the Carve-Out and Cash Collateral Order in *Licking River Mining* anticipated the Debtor's conversion and contained additional language not present in the Carve-Out in question.

The case of *In re Molycorp, Inc.*, 562 B.R. 67 (Bankr. D. DE 2017) is also not applicable to the present case. *In re Molycorp* the creditor objected to the Committees' Second Interim Fee Application on the grounds the fee application violated the terms of the debtor-in-possession financing order. The Court held that the financing order cap on the secured creditors exposure in the liability for payment of certain expenses in case no reorganization plan was confirmed as the Court determined that the cap on the Professional fees in the Debt Financing Order only came into effect if the parties fail to confirm a Plan of Reorganization.

The case of *In re U.S. Flow Corp*. 332 B.R.792 (Bankr. W.D. MI 2005) also is not supportive of the Professional's position. *In re U.S. Flow*, the U.S. Trustee sought a disgorgement of fees paid to the Professionals pursuant to a Carve-Out after a short-lived Chapter 11 case was converted to Chapter 7. In the present case, no one is seeking a disgorgement and a plan of reorganization was confirmed.

CONCLUSION

The Bankruptcy Courts Opinion in Order should be affirmed.

Respectfully submitted:

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that a true and accurate copy of the foregoing was served upon all parties registered to receive electronic notice, via notice by the Court's CM/ECF service on August 30, 2019.

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COUNSEL FOR APPELLEES